

Independent Auditor's Report

To the Board of Directors of
Mobile Loaves & Fishes, Inc. and Mobile Loaves & Fishes Support Corporation
Austin, Texas

Opinion

We have audited the consolidated financial statements of Mobile Loaves & Fishes, Inc. and Mobile Loaves & Fishes Support Corporation (collectively "MLF"), which comprise the consolidated statements of financial position as of December 31, 2022 and 2021, and the related consolidated statements of activities, functional expenses, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of Mobile Loaves & Fishes, Inc. and Mobile Loaves & Fishes Support Corporation as of December 31, 2022 and 2021, and the changes in their net assets and their cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are required to be independent of MLF and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about MLF's ability to continue as a going concern within one year after the date that the consolidated financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in

Mobile Loaves & Fishes, Inc. and
Mobile Loaves & Fishes Support Corporation

Consolidated Statements of Financial Position

December 31, 2022 and 2021

	2022	2021
Assets		
Current Assets:		
Cash and cash equivalents	\$ 3,088,310	\$ 5,025,201
Other current assets	2,333,269	907,672
Current pledges receivable with donor restrictions	155,000	30,000
Accrued interest receivable	471,718	-
Other receivables	106,726	94,165
Investments	10,348,367	9,362,878
Inventory	76,429	70,599
Notes receivable - neighbors - current	5,086	1,450
Prepaid expenses	89,112	90,025
Total current assets	16,674,017	15,581,990
Cash and cash equivalents with donor restrictions for the purchase of property and equipment	2,420,929	11,462,152
Investments with donor restrictions for the purchase of property and equipment	36,707,265	-
Pledges receivable with donor restrictions for the purchase of property and equipment, net	14,922,891	8,606,247
Noncurrent pledges receivable with donor restrictions	125,000	30,000
Construction-in-progress with donor restrictions	4,574,067	3,485,755
Notes receivable - NMTC - noncurrent	12,873,360	12,873,360
Notes receivable - neighbors - noncurrent	1,114	-
Property and equipment, net	81,855,910	31,087,545
Operating right-of-use assets	73,332	-
Security deposit	-	800
Total assets	\$ 170,227,885	\$ 83,127,849
Liabilities and Net Assets		
Current Liabilities:		
Accounts payable	\$ 200,502	\$ 1,229,076
Accrued payroll expenses	247,878	227,291
Other current liabilities	54,751	45,295
Deferred rental income	28,886	35,072
Operating lease liability - short-term	29,843	-
Security deposit liabilities	145,975	110,629
Total current liabilities	707,835	1,647,363
Notes payable - noncurrent portion, net of unamortized debt issuance costs	16,178,166	16,157,236
Operating lease liability - long-term	43,489	-
Total liabilities	16,929,490	17,804,599
Net Assets:		
Without donor restrictions	96,954,401	42,799,866
With donor restrictions	56,343,994	22,523,384
Total net assets	153,298,395	65,323,250
Total liabilities and net assets	\$ 170,227,885	\$ 83,127,849

The accompanying notes are an integral part of these consolidated financial statements.

Mobile Loaves & Fishes, Inc. and
Mobile Loaves & Fishes Support Corporation

Consolidated Statement of Activities
For the Year Ended December 31, 2022

	Without Donor Restrictions	With Donor Restrictions	Total
Public support:			
Contributions	\$ 9,013,372	\$ 40,240,808	\$ 49,254,180
In-kind contributions	542,883	49,719,299	50,262,182
Total public support	9,556,255	89,960,107	99,516,362
Rent income	1,660,038	-	1,660,038
Special events:			
Special events income	911,994	-	911,994
Special events expense	(161,763)	-	(161,763)
Special events, net	750,231	-	750,231
Micro-enterprise:			
Micro-enterprise income	291,226	-	291,226
Micro-enterprise expense	(367,808)	-	(367,808)
Micro-enterprise, net	(76,582)	-	(76,582)
Other program income:			
Other program income	629,109	-	629,109
Other program expense	(265,879)	-	(265,879)
Other program income, net	363,230	-	363,230
Other income (loss):			
Interest income	732,515	-	732,515
Other income	122,145	-	122,145
Total other income (loss)	854,660	-	854,660
Net assets released from donor restrictions	56,139,497	(56,139,497)	-
Total support, income, and reclassifications	69,247,329	33,820,610	103,067,939
Expenses:			
Program services	12,584,519	-	12,584,519
Fundraising	1,323,041	-	1,323,041
Management and general	1,185,234	-	1,185,234
Total expenses	15,092,794	-	15,092,794
Total change in net assets	54,154,535	33,820,610	87,975,145
Net assets:			
Beginning of the year	42,799,866	22,523,384	65,323,250
Net assets, end of the year	\$ 96,954,401	\$ 56,343,994	\$ 153,298,395

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Mobile Loaves & Fishes, Inc. and
Mobile Loaves & Fishes Support Corporation

Consolidated Statement of Activities

For the Year Ended December 31, 2021

	Without Donor Restrictions	With Donor Restrictions	Total
Public support:			
Contributions	\$ 9,204,074	\$ 22,780,178	\$ 31,984,252
In-kind contributions	10,132	57,817	67,949
Total public support	<u>9,214,206</u>	<u>22,837,995</u>	<u>32,052,201</u>
Rent income	<u>1,303,362</u>	<u>-</u>	<u>1,303,362</u>
Special events:			
Special events income	516,802	-	516,802
Special events expense	(170,494)	-	(170,494)
Special events, net	<u>346,308</u>	<u>-</u>	<u>346,308</u>
Micro-enterprise:			
Micro-enterprise income	152,631	-	152,631
Micro-enterprise expense	(221,433)	-	(221,433)
Micro-enterprise, net	<u>(68,802)</u>	<u>-</u>	<u>(68,802)</u>
Other program income:			
Other program income	367,878	-	367,878
Other program expense	(215,873)	-	(215,873)
Other program income, net	<u>152,005</u>	<u>-</u>	<u>152,005</u>
Other income (loss):			
Interest income	132,057	-	132,057
Other income	3,831	-	3,831
Total other income (loss)	<u>135,888</u>	<u>-</u>	<u>135,888</u>
Net assets released from donor restrictions	<u>8,640,631</u>	<u>(8,640,631)</u>	<u>-</u>
Total support, income, and reclassifications	<u>19,723,598</u>	<u>14,197,364</u>	<u>33,920,962</u>
Expenses:			
Program services	10,464,470	-	10,464,470
Fundraising	829,177	-	829,177
Management and general	902,293	-	902,293
Total expenses	<u>12,195,940</u>	<u>-</u>	<u>12,195,940</u>
Total change in net assets	7,527,658	14,197,364	21,725,022
Net assets:			
Beginning of the year	<u>35,272,208</u>	<u>8,326,020</u>	<u>43,598,228</u>
Net assets, end of the year	<u>\$ 42,799,866</u>	<u>\$ 22,523,384</u>	<u>\$ 65,323,250</u>

The accompanying notes are an integral part of these consolidated financial statements.

Mobile Loaves & Fishes, Inc. and
Mobile Loaves & Fishes Support Corporation

Consolidated Statement of Functional Expenses
For the Year Ended December 31, 2022

	Truck Community & Outreach	Community First! Village	Community Works	Total Program Services	Fundraising	Management and General	Total
Payroll and benefits expenses	\$ 1,159,658	\$ 2,595,215	\$ 472,390	\$ 4,227,263	\$ 793,749	\$ 840,247	\$ 5,861,259
Facility expense	51,930	2,007,220	76,688	2,135,838	51,930	54,972	2,242,740
Professional services expense	108,510	394,556	11,369	514,435	50,167	81,907	646,509
Residents home expense	4,918	521,507	17,393	543,818	-	-	543,818
Program supply expense	14,808	419,837	42,151	476,796	4,180	2,510	483,486
IT expenses	247,049	61,371	19,271	327,691	72,235	70,543	470,469
Contract labor	51,321	313,108	77,411	441,840	-	-	441,840
Food	263,868	89,295	11,484	364,647	19,488	20,629	404,764
Interest expense	347	228,238	-	228,585	-	-	228,585
Printing and office supply expense	24,553	23,185	14,362	62,100	154,068	11,376	227,544
Credit card and other service expense	161,270	30,236	26,425	217,931	-	-	217,931
Conferences, education, and training	-	156,359	807	157,166	20,391	20,391	197,948
Insurance expense	122,103	18,609	-	140,712	6,620	6,620	153,952
Operating lease expense	562	21,988	950	23,500	1,158	7,392	32,050
Marketing expense	888	3,869	4,118	8,875	96,147	-	105,022
Rent expense	1,170	44,982	1,971	48,123	2,402	15,337	65,862
Automobile expense	14,029	52,506	1,224	67,759	5,997	5,997	79,753
Miscellaneous expense	10,075	31,319	1,483	42,877	6,586	6,971	56,434
Membership and subscription	1,417	8,490	1,186	11,093	3,142	5,168	19,403
Interest on lease liability	-	634	-	634	-	-	634
Total expenses before depreciation and operating lease eliminations	2,238,476	7,022,524	780,683	10,041,683	1,288,260	1,150,060	12,480,003
Depreciation expense	1,064	2,541,772	-	2,542,836	34,781	35,174	2,612,791
Total expenses	\$ 2,239,540	\$ 9,564,296	\$ 780,683	\$ 12,584,519	\$ 1,323,041	\$ 1,185,234	\$ 15,092,794
Percentage of total expenses	15%	63%	5%	83%	9%	8%	100%

The accompanying notes are an integral part of these consolidated financial statements.

Mobile Loaves & Fishes, Inc. and
Mobile Loaves & Fishes Support Corporation

Notes to Consolidated Financial Statements (continued)

For the Years Ended December 31, 2022 and 2021

Note 5 – Pledges Receivable

Pledges receivable are due over various years and are summarized at December 31, 2022 and 2021 as follows:

	2022	2021
Due within one year	\$ 6,773,992	\$ 6,323,583
Due between one and five years	9,612,440	3,206,096
Due in more than five years	-	240,000
Discount to present value	(364,219)	(126,464)
Allowance for uncollectible receivables	(819,322)	(976,968)
Total pledges receivable, net	<u>\$ 15,202,891</u>	<u>\$ 8,666,247</u>

Pledges receivable has been analyzed and a reasonable allowance for uncollectible contributions has been made. Receivable balances have been discounted to their present values at December 31, 2022 and 2021, assuming an interest rate of 2.0%.

Note 6 – Notes Receivable

Notes Receivable – Neighbors

MLF, Inc. created promissory notes due to MLF, Inc. for participants who purchased vehicles, lawn mowers, or electrical upgrades. During the terms of the promissory notes, MLF, Inc. maintained security interest in the vehicles. The notes receivable at December 31, 2022 and 2021 consisted of the following:

	2022	2021
Date of note: 8/2/2022, amount of note: \$2,300, interest 0%, payment terms include monthly of \$192 starting 1/1/2023 and ending 12/1/2023.		
	\$ 2,300	\$ -
Less current portion	(2,300)	-
Noncurrent portion	<u>\$ -</u>	<u>\$ -</u>
Date of note: 10/10/2022, amount of note: \$3,900, interest 0%, payment terms include monthly payments of \$279 starting 3/1/23 and ending 5/1/2024.		
	\$ 3,900	\$ -
Less current portion	(2,786)	-
Noncurrent portion	<u>\$ 1,114</u>	<u>\$ -</u>

Date of note 12/31/2018, amount of note: \$2,160, interest 0%, payment terms include monthly payments of \$60 starting 1/1/19 and ending 12/1/21. \$635 balance as of December 31, 2020 and all remaining payments were received in 2021.

Mobile Loaves & Fishes, Inc. and
Mobile Loaves & Fishes Support Corporation

Notes to Consolidated Financial Statements (continued)
For the Years Ended December 31, 2022 and 2021

Note 7 – Property and Equipment

At December 31, 2022 and 2021, property and equipment consisted of the following:

	2022	2021
Land	\$ 52,676,440	\$ 3,496,440
Land improvements	12,074,173	13,265,907
Equipment	1,891,689	1,827,613
Furniture and fixtures	244,371	140,979
Buildings	11,184,768	10,556,790
Microhomes	6,826,439	3,854,883
Trailers	6,628,222	5,384,471
Vehicles	1,213,566	1,043,821
CIP: Community First! Village	4,574,067	3,485,755
Total cost	97,313,735	43,056,659
Less: accumulated depreciation	(10,883,758)	(8,483,359)
Property and equipment, net	<u>\$ 86,429,977</u>	<u>\$ 34,573,300</u>

Depreciation expense totaled \$2,612,791 and \$2,343,783, respectively, for the years ended December 31, 2022 and 2021.

For the years ended December 31, 2022 and 2021, MLF made purchases of property and equipment totaling \$4,268,144 and \$5,758,184, respectively. Additionally, MLF received donations of property and equipment totaling \$50,228,767 and \$50,617 for the years ended December 31, 2022 and 2021, respectively. During both December 31, 2022 and 2021, approximately 99% of all property and equipment is used on program services. The allocation of the property and equipment is reflected in the consolidated statements of functional expenses through depreciation expense, which recognizes the cost of the property and equipment over their useful lives.

Community First! Village – Phase II Land Improvements & Site Development

In 2021, MLF entered into a construction contract to build the Community First Living Room Building within Phase II with Contractor #1 totaling \$2,098,053, which is subject to additions, deletions or other revisions by change orders which were agreed upon by both MLF and the contractor. During the years ended December 31, 2022 and 2021, MLF incurred and paid \$1,180,341 and \$774,082, respectively, to Contractor #1.

Mobile Loaves & Fishes, Inc. and
Mobile Loaves & Fishes Support Corporation

Notes to Consolidated Financial Statements (continued)

For the Years Ended December 31, 2022 and 2021

Note 10 – Risks and Uncertainties

On March 13, 2020, the Government of the United States declared the COVID-19 Pandemic (“COVID-19”) as a national emergency. COVID-19 has caused a significant impact on the United States economy affecting various businesses in different ways. COVID-19 may have an impact on future programs and events being held. MLF does not have insurance to cover the loss of revenues in the case of a Pandemic. However, no adjustments have been made to these consolidated financial statements as a result of this uncertainty.

Note 11 – Leasing Activities

Operating Leases

MLF entered into various operating lease agreements set to expire at various dates through December 2025.

The following summarizes the line items in the consolidated statements of financial position for the operating leases as of December 31, 2022:

Operating leases:	
Operating right-of-use asset	\$ 73,332
Operating lease liability – short-term	\$ 29,843
Operating lease liability – long-term	43,489
Total operating lease liabilities	\$ 73,332

The following summarizes the weighted-average remaining lease term and discount rate as of December 31, 2022:

Weighted-average remaining lease term:	
Operating leases	2.63 years
Weighted-average discount rate:	
Operating leases	1.44%

Future minimum lease payments to be paid on these leases are due as follows:

Year Ending December 31,

2023	\$ 29,011
2024	27,406
2025	18,271
Total	74,688
Less: Interest	(1,356)
Present value of lease liabilities	\$ 73,332